NATIONAL COMPANY LAW TRIBUNAL

GUWAHATI BENCH

GUWAHATI

C.A. (CAA) No. 04/GB/2021

Coram: Hon'ble SHRI H. V SUBBA RAO, MEMBER (JUDICIAL)

Hon'ble SHRI PRASANTA KUMAR MOHANTY, MEMBER (TECHNICAL)

ATTENDENCE-CUM-ORDER SHEET OF THE HEARING OF THE NATIONAL COMPANY LAW TRIBUNAL, GUWAHATI BENCH ON 20.01.2021.

Name of the Company: Ravi Marketing & Services Private Limited

And

Assam Timber Products Private Limited

Section: Section 230-232 of Companies Act

Sl.No.	NAME (CAPITAL LETTERS)	DESIGNATION	REPRESENTATION	SIGNATURE
1.				
2.				

ORDER

The Applicant is represented through respective Learned Counsel(s).

The case is fixed for pronouncement of order.

The Order is pronounced in the open court, vide separate sheet.

Sd/-

[PRASANTA KUMAR MOHANTY]
MEMBER (TECHNICAL)

Sd/-

[HARI VENKATA SUBBA RAO]
MEMBER (JUDICIAL)

Dated this 20th day of January,2021

NATIONAL COMPANY LAW TRIBUNAL

GUWAHATI BENCH

GUWAHATI

C.A. (CAA) No. 04/GB/2021

In the matter of:

Assam Timber Products Private Limited (ATPPL)

A Company incorporated under the provisions

Of the Companies Act, 1956

(CIN U20211AS1979PTC001789) and having its

Registered Office at Makum Road, Tinsukia,

Assam- 786125.

… Transferee Company

AND

Ravi Marketing & Services Private Limited (RMSPL)

A Company incorporated under the provisions

Of the Companies Act, 1956

(CIN U67120AS1986PTC019084) and having its

Registered Office at P.O Rupai Siding Doom,

Doomda, Tinsukia, Assam- 786153.

… Transferor Company

Order delivered on 20th January, 2021

Coram:

Hon'ble Shri H. V Subba Rao, Member (J)

Hon'ble Shri Prasanta Kumar Mohanty, Member (T)

Hearing through Video Conference

Order pronounced in open Court on 20th January, 2021

ORDER

[Per se: Shri Hari Venkata Subbarao, Member (Judicial)]

1. It is submitted that the Board of Directors of the Applicant Companies have, at their respective meetings held on February 29,2020, by resolutions passed unanimously, approved a draft Scheme of Amalgamation of "RMSPL", (hereinafter referred to as "Transferor Company") with "ATPPL" (hereinafter referred to as the "Transferee Company") whereby and hereunder the entire undertaking of the Transferor Company with all assets and liabilities relating thereto as a going concern is proposed to be transferred to and vested in Transferee Company. Certified copies of the Board Resolutions passed by the Applicant Companies on February 29, 2020 are annexed and collectively marked as **"Annexure- C".**

2. The Applicants in the present Company Application have narrated about the rational of the proposed company scheme, which are being reproduced below:

RATIONAL OF THE SCHEME

a) The Applicant Companies are carrying on business activities under the same promoter group; therefore it would be beneficial for the Transferor Company to merge with the Transferee Company.

b) The said Scheme of Amalgamation of these Companies will lead to better administrative control and will be convenient for the company to operate as well.

c) The management of the Companies has examined the relative business strengths and the potential commercial and other synergies of the consolidated entity and, accordingly, the possibility of consolidating their businesses under a single entity was mooted.

d) The said Scheme of Amalgamation would result in reduction of costs, pooling of business and strategic resources, economies of scale and focused management control. The Scheme is in the interest of the companies and will help in modernization, growth and expansion of the businesses. The amalgamation would enable higher levels of corporate governance and compliance of laws in this regard thereby creating a healthy balance sheet.

e) The said Scheme of Amalgamation is expected to consolidate and streamline the holding of the promoters for a better and more efficient control as the integration would result in greater financial strength and flexibility for the amalgamated entity, which would result in maximizing overall shareholders' value, and will improve the competitive position of the combined entity.

f) Combined additional thrust to the Transferee Company due to the managerial expertise of Transferor Company enabling the Transferee Company to offer a strong financial structure to all creditors including the creditors of the Transferor Company, lower the cost of borrowing, increase operational efficiency and integrate marketing functions. This would contribute towards enhancement of shareholders' value of the Transferee Company. The interest of the various stakeholders will be secured and unaffected by the proposed amalgamation.

3. The necessary particulars about the Applicants Companies shareholding pattern and shareholders are described in Form of a Chart the same is being reproduced below:

Sr. No.		
A	Transferor Company	**Ravi Marketing and Services Private Limited**
A1	Share Capital	Authorized Share Capital of Rs. 1,50,00,000/- and Issued, Subscribed and Paid-up Capital of Rs. 1,31,94,500/-
A2	Objects of Company (In Brief)	• To carry on all type of selling, purchasing, marketing activities directly (both internal and external market on its on as sales, purchase or commission agents and brokers) to act as service agent for providing services after sales and technical services, to carry on business as marketing technical consultants both in internal and external market. • To invest in and acquire and hold, sell, buy or otherwise deal in shares debentures, debenture stocks, bonds, units, obligations and securities issued or guaranteed by Indian or foreign Governments, State, Dominions, Sovereigns, Municipalities or Public Authorities or Bodies and shares, stocks, debentures, debenture stocks, bonds, obligations and securities

		issued and guaranteed by any Company, Corporation firm or person whether incorporated or established in India or else-where
B	Transferee Company	**Assam Timber Products Private Limited**
B1	Share Capital	Authorized Share Capital of Rs. 3,00,00,000/- and the Issued, Subscribed and Paid-up Capital of Rs. 1,08,89,000/-
B2	Objects of Company (In Brief)	• To manufacture and/or carry on the business of manufacture of plywood of all sizes and descriptions, veneer, laminated boards and other articles made of ply woods, etc. tea-chests including metal fittings, battens, etc. Bobbins, Looms, Loom parts, moulds and other wooden parts of textile mills, packing boxes, wooden crates, wooden toys, etc. • To carry on the business of Cabinet and furniture makers and of all works of all description to be done with

		any kind and variety of timber.

4. **It is stated that the Applicant Transferor Company is having nine shareholders and all of them have given their consents by way of affidavits for approval of the proposed Company Scheme. Further, there is NIL Secured and Unsecured Creditors as on 31st December, 2019 in the RMSPL Company. Hence, its meeting needs to be dispensed with.**

5. **So far as the Transferee Company Assam Timber Products Private Limited is concerned, there are 9 equity shareholders all of them have given their consents by way of affidavits for approval of the proposed company scheme. Hence, its meeting needs to be dispensed with.**

6. **It is submitted that the Transferee Company as on 31st December, 2019 has 2 Secured Creditors, to whom a sum of Rs. 4,44,53,484/- (Rupees four crores forty four lakhs fifty thousand four hundred and eighty four only) is outstanding and due and 31 Unsecured Creditors to whom a sum of Rs. 4,86,91,639/- (Rupees four crores eighty six lakhs ninety one thousand six hundred and thirty nine only) is outstanding and due.**

7. It is further stated that the two secured creditors of the Transferee Company have given their No-objection Certificates for the proposed Scheme of Amalgamation of the Transferor Company with the Transferee Company. The said No-objection Certificates from the Secured Creditors of the Transferee Company is annexed as **ANNEXURE- I**.

8. Further, it is reported that there are **31 unsecured creditors** as on 31st December, 2019, in the Transferee Company. Hence, their meeting is required to be convened by the Company.

9. The applicants have sought for a direction to prescribe the method for convening the meeting and by day, date and time to appoint Chairman/Scrutinizer for such meeting of unsecured creditors of Transferee Company. That apart the Applicants have further sought direction of this Court to serve a Notice of the proposed

Company Scheme to the concerned Statutory Authorities by inviting their response/comments/objection, if any, to the proposed Company Scheme.

10. Having heard the learned counsel for the Applicants Companies and by perusal of the record, we feel that the prayer as being sought for by the Applicants Company appears to be reasonable and ***bona-fide*** and the present Company Application deserves to be allowed. Accordingly, it is allowed in terms of its prayer clause with following directions:

    (i) Meetings of the Equity Shareholders of Ravi Marketing & Services Private Limited, the Applicant Transferor Company and Assam Timber Products Private Limited, the Applicant Transferee Company are hereby dispensed with, in the light of the consent letters on affidavit, placed on record as per the List of Shareholders of all the Applicant Companies along with Affidavit from individual shareholders of the Applicant Companies, giving their consent to the proposed Scheme of Amalgamation, is annexed as **"Annexure- J"**.

    (ii) Since there is NIL Secured and Unsecured Creditors of the Applicant Transferor Company, as per the list of Secured and Unsecured Creditors certified by the auditors of the Company annexed and marked as **"Annexure- F",** its meeting are not required.

    (iii) The meeting of the two Secured creditors of the Transferee Company is dispensed with as per the No-Objection Certificate from the Secured Creditors of Applicant Company No. 1, annexed and marked as **"Annexure-I".**

    (iv) Further a meeting of the Unsecured Creditors of The Applicant Transferee Company, shall be convened and held at the registered office of the Transferee Company at Makum Road, Tinsukia, Assam- 786125 on **15th day of March at 11:00 AM**. If the same meeting cannot be convened for any reason on 15th March, 2021 the said meeting be held soon thereafter on a convenient date, time but not later than 19th March, 2021.The said meetings of unsecured creditor, will deliberate upon the proposal for approval of the proposed company scheme of arrangement and to pass necessary resolution in this respect.

(v) At such meetings of the Unsecured Creditors of the said Applicant Transferee Company, the voting shall be carried out through ballot/polling paper at the venue of the meeting.

(vi) At least one month before the date of the meeting, a notice in Form No. CAA 2 convening the said meeting indicating the day, the date, the place and the time as aforesaid, together with a copy of the Scheme of Arrangement, copy of the Explanatory Statement required to be sent under Section 102 of the Act, read with Section 230 and 232 of the Act and Rule 6 of the Companies (CAA) Rules, 2016 and the prescribed Form of Proxy shall be sent to each of the Unsecured Creditors of Assam Timber Products Private Limited, the Applicant Transferee Company; at their respective or last known address either by Registered Post/ Speed Post or by Courier or by e-mail. The notice shall be sent to all the Unsecured Creditors of the Applicant Transferee Company, as on 31st December, 2019.

(vii) At least one month before the date of meetings, an advertisement about convening the said meeting, indicating the day, the date, the place and the time as aforesaid, shall be published once in English Daily '**The Assam Tribune**' and Assamese Daily '**Dainik Asom**'. The publication shall also indicate that the statement required to be furnished pursuant to Section 102 of the Act, read with Sections 230 and 232 of the Act and the prescribed proxy can be obtained free of charge at the Registered Office of the Applicant Company or at the office of the learned counsel (Ms. Neha Somani, Learned PCS, Contact number + 91 9051441471 and e-mail id: nehasomani007@gmail.com) for the applicants in accordance with second proviso to sub-section (3) of Section 230 and Rule 7 of the Companies (CAA) Rules, 2016.

(viii) **Mr. Deendayal Daga, Director of the transferee company shall be Chairperson**, the said meeting of the Unsecured Creditor of the Applicant Transferee Company to be held on 15th March, 2021 or soon thereafter on a convenient date, time but not later than 19th March, 2021.

(ix) The Chairperson for the meeting Mr. Deendayal Daga may appoint any suitable person as the scrutinizer for the meeting to be convened.

(x) The Chairman for the aforesaid meeting shall issue advertisements and send out notices of the said meeting referred to above. The Chairman is free to avail the services of the Applicant Company or any agency for carrying out the aforesaid directions. The Chairman of the meeting shall have all powers under Article of Association of the Applicant Company and also under applicable rules, including the power for deciding any procedural questions, that may arise at the meeting or adjournments thereof proposed at the said meeting, amendments to the aforesaid Scheme or resolution, if any, proposed at the aforesaid meeting by any person(s); and to ascertain the decision of the meetings through a poll i.e. by paper/ballot.

(xi) The quorum for the meeting of the Unsecured Creditors shall be **5 (Five)** Unsecured Creditors, present in person or by authorized representative or by proxy.

(xii) Voting by proxy/authorized representative is permitted provided that the proxy in the prescribed form/authorization duly signed by the person entitled to attend and vote at the aforesaid meetings, is filed with the Applicant Company at the registered office not later than 48 hours before the said meeting.

(xiii) The number and value of the vote of each Unsecured Creditor of the Applicant Transferee Company, shall be in accordance with the entries in the books of accounts of the said Applicant Company; and where the entries in the records are disputed, the Chairman of the meeting shall determine the value for the purpose of the meeting.

(xiv) The Chairman shall file an affidavit not less than 7(seven) days before the proposed date fixed for holding of such meeting and its outcome to this as per Rule 12 of the Companies (CAA) Rules, 2016 that direction given by this tribunal for issuance of notice/s and advertisement of notice of meetings are properly followed.

(xv) It is further directed that the Chairman as the case may be shall report to this Tribunal about the result of the such meeting held (in Form No CAA 4, verified by his affidavit, as per Rule 14 of the Companies (CAA)

Rules, 2016) within 15 (fifteen) days from the conclusion of the meetings.

11. In compliance of sub-section (5) of Section 230 of the Act and Rule 8 of the Companies (CAA) Rules, the Applicant Companies shall send a Notice of meeting in Form No. CAA 3 with a copy of the Scheme of Arrangement, the Explanatory Statement and the disclosures mentioned under Rule 6 (to the extent applicable) to:

    (a) The Central Government through the Regional Director, North Eastern Region,
    (b) the Registrar of Companies, Guwahati
    (c) the Income Tax Authorities of the concerned area;
    (d) the Official Liquidator, North eastern Region

    stating that representations, if any, to be made by them shall be made within a period of 30 (Thirty) days from the date of receipt of such notice, failing which it will be deemed that they have no objections to make on the proposed Scheme of Arrangement. The said notices shall be sent to the above Statutory authorities forthwith, after the notices for meeting to the concerned Unsecured Creditors of the Applicant Transferee Company are sent, either by Registered Post or by Speed Post or by Courier or by Hand Delivery at the office of the authorities as required by sub-rule (2) of Rule 8 of the Companies (CAA) Rules, 2016. The aforesaid authorities who desire to make any representation under sub-section (5) of Section 230 shall send the same to this Tribunal with a copy of the same to be sent to the Applicant Companies within a period of 30 (Thirty) days from the date of such service.

12. With the aforesaid directions/observations, **CA (CAA) No. 04/GB/2021** is allowed and stands disposed of accordingly.

Sd/-	**Sd/-**
(Prasanta Kumar Mohanty)	**(H.V Subba Rao)**
Member (Technical)	**Member (Judicial)**